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HUNGARY

National Bank of Hungary preview: Next, please!

The next step of Hungary's "mini rate cut cycle" is around the corner. Recent market turmoil hasn't derailed the positive risk premium story overall, and the latest inflation figure was lower than the central bank projected. Markets, forever fixated on whatever comes next, seem to be channelling Philip Larkin's *Next, Please*



NBH Governor Mihaly Varga's latest comments have made it clear that the next road crossing is in September

Our call

This time, there's no need to outsmart or overthink anything or anyone. Governor Mihaly Varga announced the 'mini rate cut cycle' for the summer in June, and nothing we have seen so far has thrown the plan off course. Against this backdrop, we anticipate a 25bp reduction in the base rate, bringing it down to 5.75% on 21 July.

Looking ahead, if the external environment remains supportive and local politics deliver on previous commitments regarding the euro adoption plan, EU funding developments, and long-term fiscal adjustments, the risk premium for Hungarian assets could remain persistently low. In this case, we forecast a 'midi' rate cut cycle involving three or four further rate cuts following July's move.

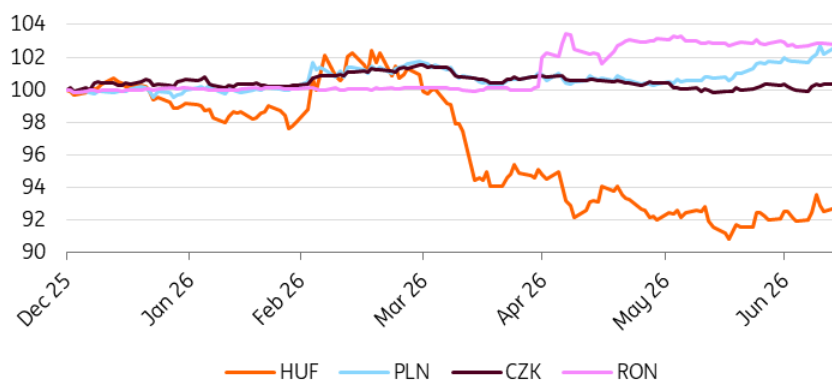
The biggest issue now is that the recent flare-up in the Middle East has increased the risk of miscalculation. At a local level, everything is going according to plan, with €16.4bn in EU funds being made available to Hungary. Therefore, while it is still difficult to be certain, our terminal rate for this year is 4.75-5.00%.

Our market views

EUR/HUF rebounded from the June low near 350 and has since settled into a 350-360 range. Implied volatility has fallen but remains above CEE peers. Since the April general election, EUR/HUF has traded in a largely self-contained environment, with global factors having less influence than elsewhere in the region. Even with the NBH signalling a rate-cut cycle and interest rate differentials tightening meaningfully, the currency has shown limited sensitivity.

Looking ahead, we expect EUR/HUF to remain stable, with the second half of 2026 likely dominated by range trading within 350-360 and a further decline in volatility. While markets may price additional rate cuts from current levels, rates appear to have a limited impact on FX for now. Recent Middle East-related headlines and weaker global sentiment have done little damage to the forint, with any softness quickly absorbed by the market. Despite NBH rate cuts, FX carry remains attractive within emerging markets, and the positive local story could draw further carry demand over the summer, particularly if volatility keeps falling.

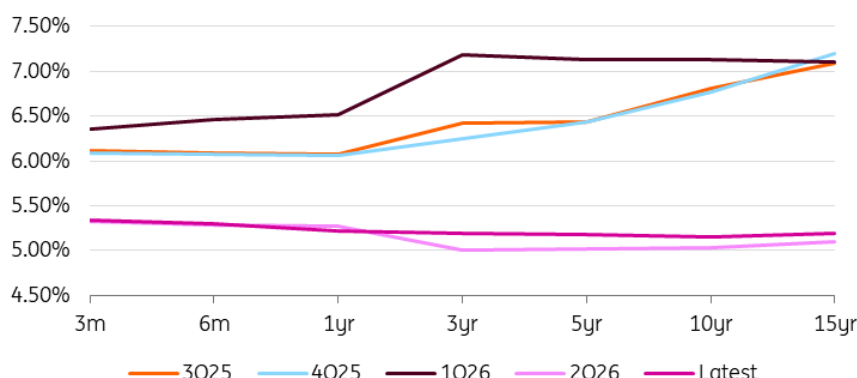
CEE FX performance vs EUR (end-2025 = 100%)



Source: NBH, ING

Since the general election, almost every inflation print and NBH meeting has given rates and bonds a reason to rally. After June inflation came in below the NBH forecast, market pricing has stabilised around a 4.50% terminal rate over the two-year horizon. Compared with our forecast and the market's 2024 lows, we still see room for a further rally. In early 2024, markets priced a 4.25% terminal rate despite a much less favourable backdrop for the central bank. We therefore expect the curve to move lower, with a continued steepening bias and further spread compression versus core and CEE markets.

Hungarian yield curve



Source: GDMA, ING

In bonds, the debt agency has seen strong demand for Hungarian government bonds since the start of the year, with momentum accelerating after the April general election. The uncertain fiscal outlook makes this year's funding need difficult to estimate. But under the old plan based on a 5% ESA deficit, around 80% of issuance has already been covered, including switches and next year's pre-funding.

After the latest euro-denominated deal, the debt agency also indicated that FX issuance is complete for this year. This leaves HGBs as the main funding tool, while the agency is likely to keep taking advantage of strong demand. That supports further curve steepening, although the long end should continue to benefit from euro adoption expectations and EU funds inflows.

Some background

Inflation inched lower once again [in June](#), despite the global price shock caused by geopolitical events. The strength of the forint appears to be more effective in stabilising prices than any other factor. We have revised our inflation trajectory downwards once again, which has led us to expect further monetary easing. Compared to a month ago, we have added an additional rate cut to our [base case scenario](#).

The National Bank of Hungary's latest Inflation Report projected that the inflation rate in June would be 2.0%. However, instead of accelerating to that level, it fell to 1.7% year-on-year. In contrast, energy prices have increased compared to levels around the June rate-setting meeting, but volatility is too high to generate widespread fears of pausing the cycle.

Admittedly, the recent weakening of the forint, with EUR/HUF hitting 360, would raise some eyebrows in isolation. However, zooming out over the past few months, the cross has been range-bound in the 350-365 area since mid-April. In fact, the Hungarian forint is still 10% stronger year-on-year. Hungarian government bond yields have also inched higher recently, but the yield environment is still roughly 175-200bp lower than a year ago.

According to a review conducted by the new government, the accrual budget deficit would have amounted to 8.3% of GDP had there been no change in government. Due to the government's actions to date and the agreement with the EU, the projected deficit for this year (without additional measures) has been reduced to 7.5% of GDP. The government will amend the 2026 budget and set a new deficit target by the end of August, so the 7.5% figure is merely a starting point for planning. In this regard, however, this update does not bring enough change to the table for the central bank to reconsider the forces shaping the future path of inflation.

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